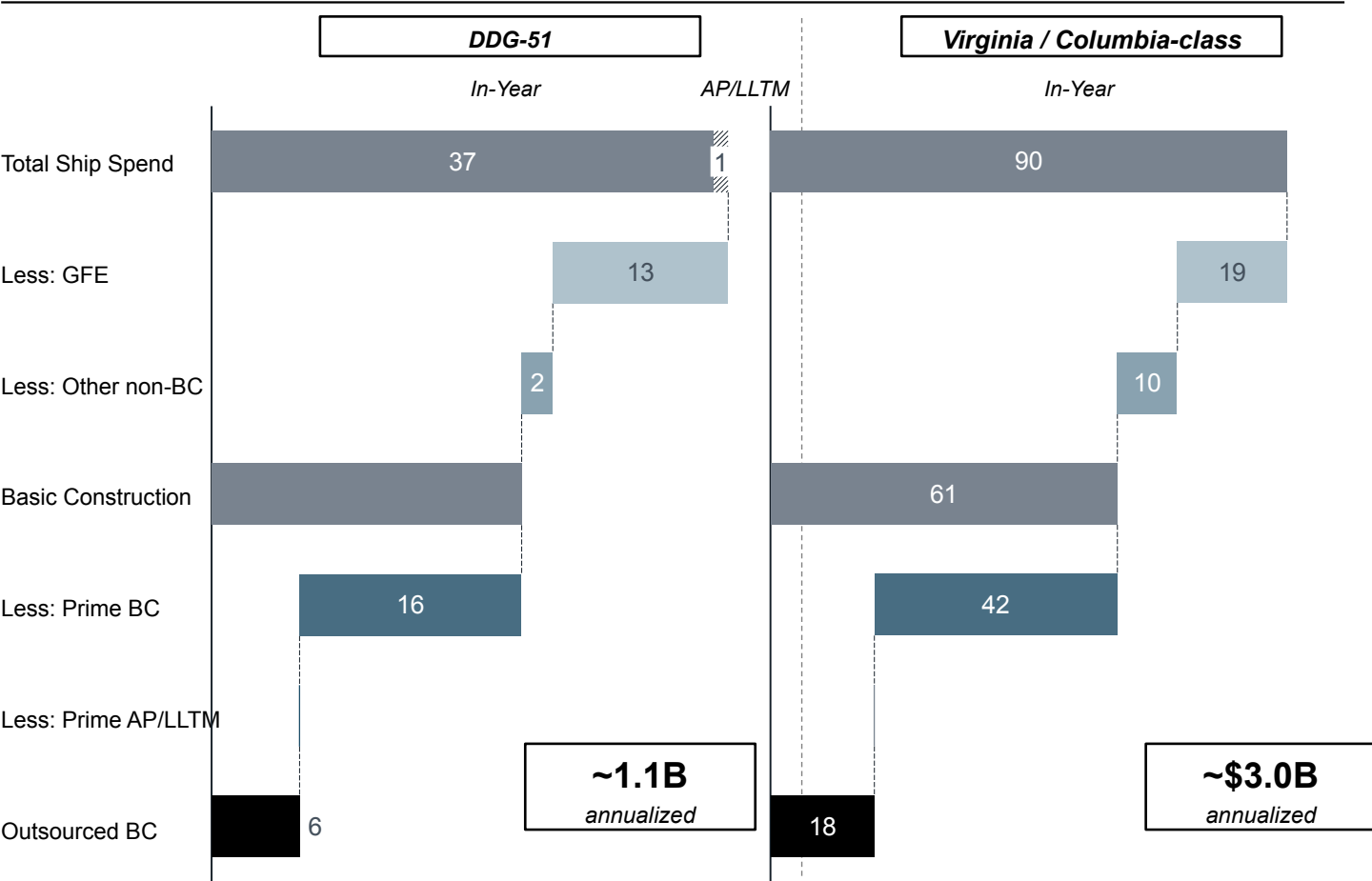


Outsourced Basic Construction | Across FY22–FY27, total ship spend narrows to an annualized ~\$1.1B of outsourced work for DDG-51 and ~\$3.0B for submarines.

Walk to Outsourced Basic Construction Spend (\$B, cumulative FY22-FY27, FY26 \$)

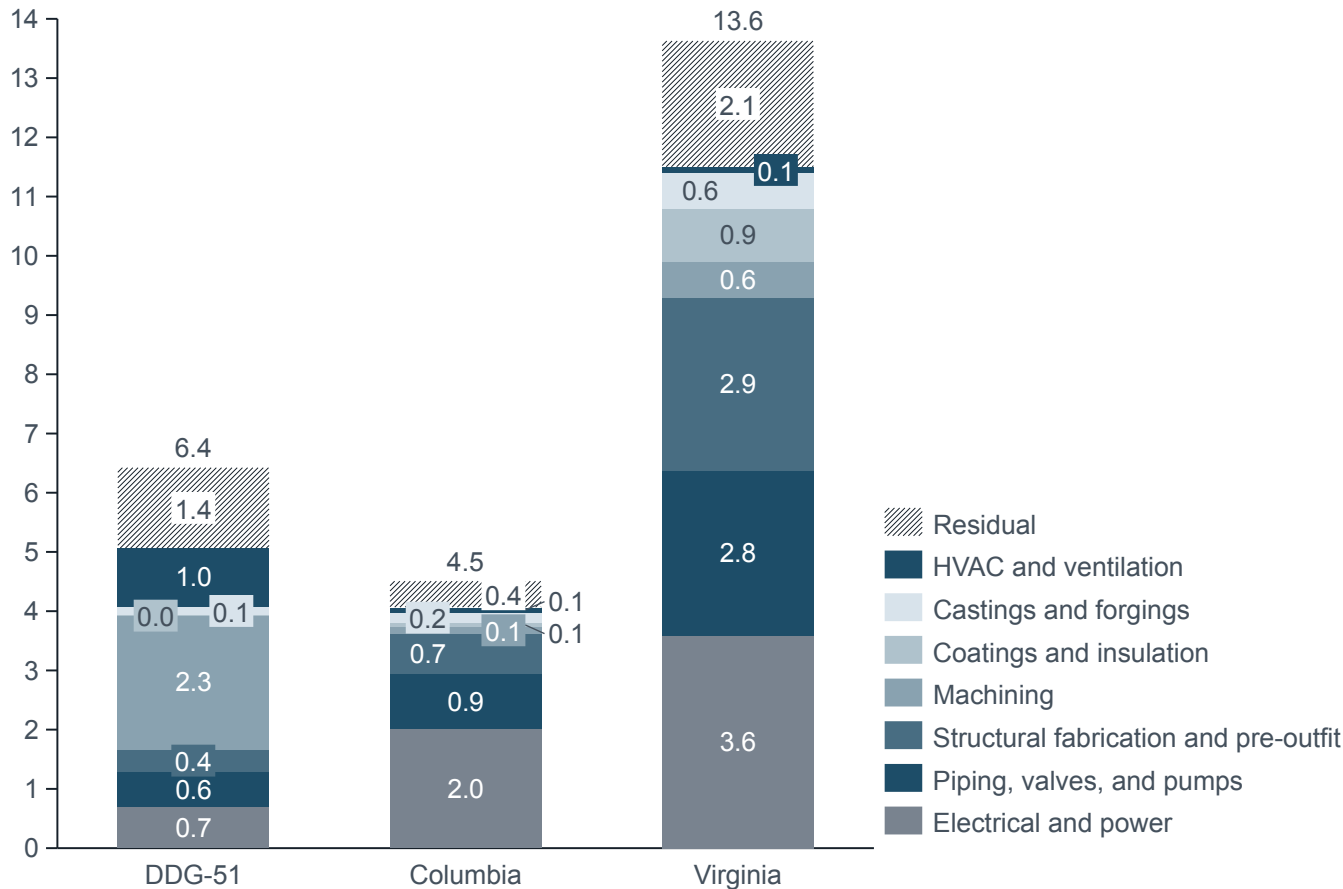


| Step                                 | Rationale                                                                                                                                                                                                                                                                                                                                                                                                |
|--------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Total Ship Spend                     | <ul style="list-style-type: none"><li><b>In-Year Spend:</b> FY2022–FY2027 SCN end cost (P-5c discretionary); OBBBA adds two FY2026 DDG-51s (\$5.4B) and a second FY2026 <i>Virginia</i> \$4.6B)</li><li><b>Advanced Procurement / Long-Lead Time Materials:</b> DDG-51 adds incremental FY2026 AP/LLTM (\$1.8B); submarines add none (supplier long-lead is already inside Basic Construction)</li></ul> |
| Less: Government-Furnished Equipment | <ul style="list-style-type: none"><li>Removes GFE (propulsion, electronics, and ordnance) the Navy buys directly and furnished to Primes</li><li>GFE is non-addressable to outsourced Basic Construction players</li></ul>                                                                                                                                                                               |
| Less: Other non-BC                   | <ul style="list-style-type: none"><li>Removes engineering and program costs (e.g., plans, change orders, and other non-construction activities) as these generally conducted by Primes</li></ul>                                                                                                                                                                                                         |
| Basic Construction                   | Calculation                                                                                                                                                                                                                                                                                                                                                                                              |
| Less: Prime BC                       | <ul style="list-style-type: none"><li>Removes construction the Primes perform in their own yards.</li><li>BC spend x the announced outside-yard share from DoD award place-of-performance data: ~25% DDG-51 (FY22 ships 22%), 34% <i>Virginia</i> / 22% <i>Columbia</i>.</li></ul>                                                                                                                       |
| Less: Prime AP/LLTM                  | <ul style="list-style-type: none"><li><b>DDG-51:</b> the P-10 EOQ base is vendor-purchased material, so Primes retain none — \$0 removed; the full \$1.0B flows to Outsourced BC.</li><li><b>Submarines:</b> no AP/LLTM stream exists, so there is nothing to remove.</li></ul>                                                                                                                          |
| Outsourced BC                        | Calculation                                                                                                                                                                                                                                                                                                                                                                                              |

Sources: Navy SCN P-5c / P-40 budget justification, FY22–FY27, and PB27 FYDP outyears (FY28–FY31); FY26, PL 119-21 Sec. 20002; PB27 SCN, Columbia P-10 Strategic Outsourcing narrative; OUSD(C) Green Book Procurement deflators; Navy Shipbuilding Plan; PB27 SCN Exhibit P-10, LI 2122 (AP/LLTM Ship Construction EOQ); DoD contract award announcements (announced place-of-performance)

# Outsourced Spend by Work Type | Electrical power leads the ~\$18.1B submarine pool; machining leads the ~\$6.4B DDG-51 pool.

Outsourced Basic Construction Spend by Work Type (\$B, cumulative FY22–FY25, FY26 \$)



Methodology

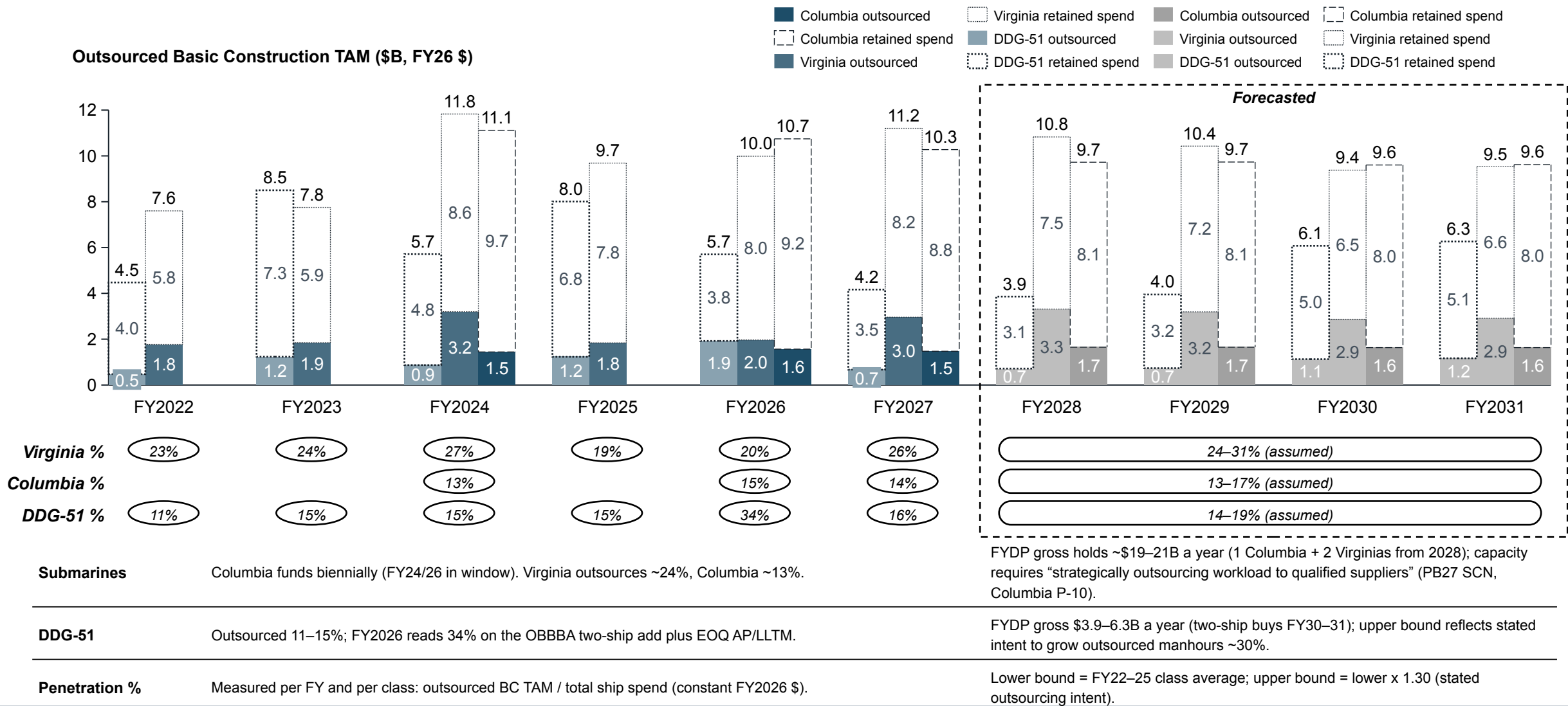
| Stage                  | Rule applied                                                                                                                             |
|------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Award pull          | Pull FFATA/FSRS subawards; collect visible supplier evidence (mix, not TAM).                                                             |
| 2. PIID gate           | Gate to yard construction PIIDs per program (BIW / Ingalls; GDEB); GFE chains drop out.                                                  |
| 3. Entity resolution   | Resolve the operating entity paid (UEI), not the parent brand.                                                                           |
| 4. Role filter         | Drop non-supplier / non-component roles from the addressable base.                                                                       |
| 5. Work-type assign    | First clean match wins one work-type home (vendor registry, NAICS-4).                                                                    |
| 6. Residual discipline | Keep unresolved dollars in the addressable base; residual dilutes named shares.                                                          |
| 7. Share output        | Bucket dollars over the addressable base set the modeled work-type and residual shares, per class and per FY; feeds the allocation step. |

The classifier is entity-first and role-first.  
Share window: FY2022–FY2025 yard subawards, per class.  
Residual is unclassified award spend.

- Unresolved dollars stay in TAM but outside SAM: the hatched cap on each column's stack.

Sources: Navy SCN P-5c / P-40 budget justification, FY22–FY27, and PB27 FYDP outyears (FY28–FY31); FY26, PL 119-21 Sec. 20002; PB27 SCN, Columbia P-10 Strategic Outsourcing narrative; OUSD(C) Green Book Procurement deflators; Navy Shipbuilding Plan; PB27 SCN Exhibit P-10, LI 2122 (AP/LLTM Ship Construction EOQ); FFATA/FSRS subaward records, yard-prime construction PIIDs, FY22–FY25 action years (work-type shares)

Outsourced Basic Construction (Annual TAM) | After averaging ~\$3.3B pre-OBBBA, demand peaks at ~\$6.2B in FY26 and is expected to remain elevated at ~\$5.1-5.8B per year through FY31.



Sources: Navy SCN P-5c / P-40 budget justification, FY22-FY27, and PB27 FYDP outyears (FY28-FY31); FY26, PL 119-21 Sec. 20002; PB27 SCN, Columbia P-10 Strategic Outsourcing narrative; OUSD(C) Green Book Procurement deflators; Navy Shipbuilding Plan

## Penetration Rate Outlook | ...

***Placeholder – Line chart (LHS 2/3) + Commentary (RHS 1/3)***

***X-axis:***

***Y-axis: FY22 – FY31***

***Lines: DDG, Virginia, Columbia pen rate (delineate historical with solid lines and forecast with dashed lines)***

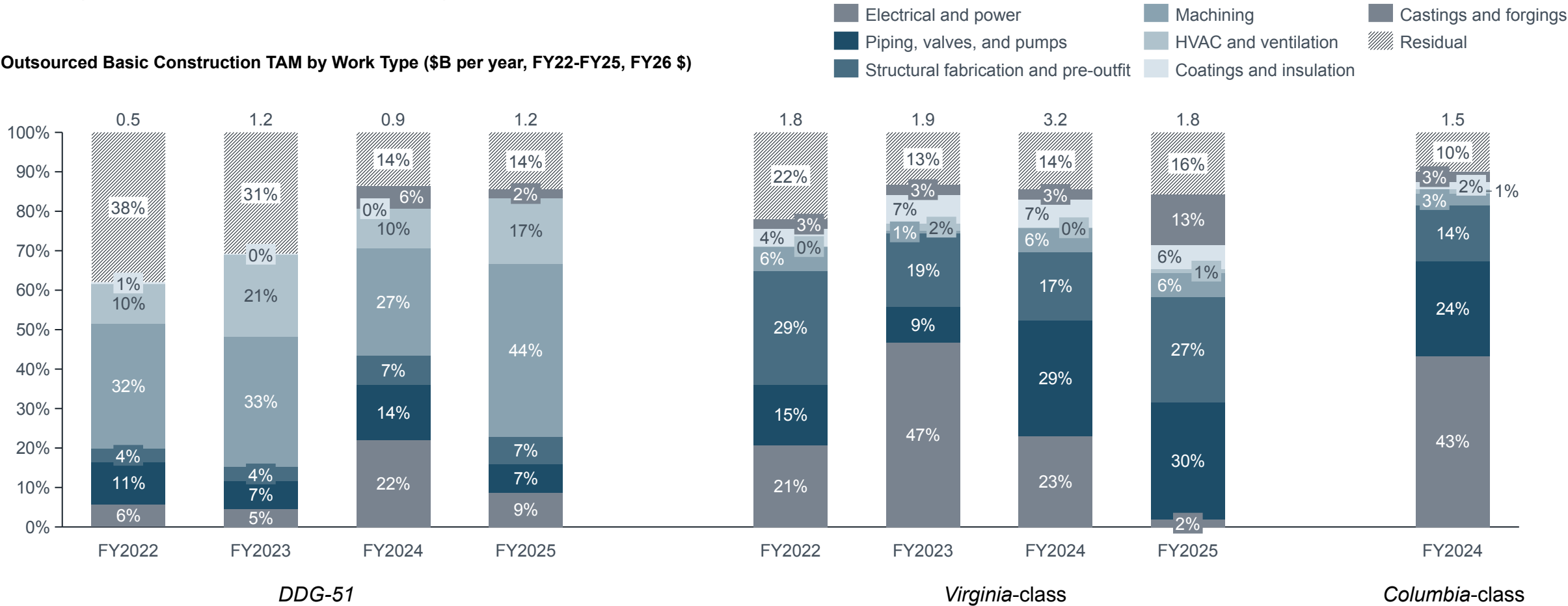
***Overlay: Penetration “ceiling” as lines for each platform***

***Commentary: Explanation of curve shape + ceilings***

***To understand how the Navy thinks about “outsourcing” – defined as hours or \$ or combination?***

# Outsourced Basic Construction Spend by Work Type | Machining anchors a third or more of DDG-51 demand every year, while the submarine lead rotates among structural, electrical, and piping work with award timing.

Outsourced Basic Construction TAM by Work Type (\$B per year, FY22-FY25, FY26 \$)



Sources: Navy SCN P-5c / P-40 budget justification, FY22–FY27, and PB27 FYDP outyears (FY28–FY31); FY26, PL 119-21 Sec. 20002; PB27 SCN, Columbia P-10 Strategic Outsourcing narrative; OUSD(C) Green Book Procurement deflators; Navy Shipbuilding Plan; PB27 SCN Exhibit P-10, LI 2122 (AP/LLTM Ship Construction EOQ); FFATA/FSRS subaward records, yard-prime construction PIIDs, FY22–FY25 action years (work-type shares)

# Contracts Outlook | ...

***Placeholder – Table***  
***Rows: Specific Contracts***  
***Columns: Contract, amount, recompetete date, current awardee, budget alignment***  
***Organized by platform***

